

FIELD RESOURCE

Auction Bidding Playbook for Brisbane Buyers

How to register, bid, and win at a Brisbane auction

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Auction is the most pressured way to buy a home in Brisbane. The contract is unconditional on the fall of the hammer, there is no cooling-off period, and every piece of due diligence has to be done before you raise your hand. This playbook walks you through what to do in the days before, how to register and bid under Queensland rules, and what happens after the auction whether you win or the property is passed in. Sources are cited inline so you can verify the rules yourself.

Before auction day: get every condition done

A standard Queensland auction contract is unconditional. Your usual safety nets, finance approval, building and pest, due diligence, all have to be in place before you bid, not after. Source: Queensland Government, Buying property at auction.

- ☐ Get formal finance approval, not just pre-approval. Pre-approval is conditional on the property and the contract. Speak to your broker or lender, give them the contract and the address, and ask for a written unconditional approval up to your maximum bid.
- ☐ Order a building and pest inspection on the property and read the report in full. The cost is yours whether you bid or not. If you cannot inspect before auction, do not bid.
- ☐ Send the contract to your conveyancer or solicitor for review at least a week out. Ask them to flag any special conditions, encumbrances, easements, or pool safety issues.
- ☐ Confirm the deposit you can pay on the day. The standard deposit is 10 percent of the purchase price under Queensland auction terms, payable immediately on the fall of the hammer (Source: Queensland Government, Auctioning a property). Some contracts nominate a smaller figure but assume 10 percent unless the agent has confirmed otherwise in writing.
- ☐ Decide whether to make a pre-auction offer. A strong pre-auction offer in writing on the auction contract can sometimes secure the property before the day. The vendor is under no obligation to accept it.
- ☐ Set your absolute ceiling on paper, with a witness, before auction day. Your ceiling is the highest price you will pay full stop, not a number you adjust on the floor.

Registering as a bidder under Queensland rules

In Queensland, only registered bidders can bid at a property auction. The Property Occupations Act 2014 and Property Occupations Regulation 2014 require the auctioneer to keep a register of every bidder, verify identity, and only accept bids from people on that register. Source: Property Occupations Regulation 2014 (Qld), Division 3.

- ☐ You must register before bidding. The auctioneer cannot accept a bid from someone who is not on the bidder register for that auction.
- ☐ You will be asked for your full name, address, and acceptable photo identification (typically a driver licence or passport). The auctioneer must sight and verify the identity document.
- ☐ You will be issued a bidder number, usually a paddle or card, that you raise during bidding.
- ☐ If you are bidding on behalf of someone else, including a spouse, a company, a trust, or by phone, you must show written authority from the person or entity you represent. The auctioneer must accept this authority before you can bid.
- ☐ Registration usually opens 30 to 60 minutes before the auction. Arrive early, especially in a competitive Brisbane campaign, so you are not registering while the auctioneer is calling for opening bids.
- ☐ Once registered with an auctioneer, the registration can apply to subsequent auctions conducted by the same auctioneer at the same place on the same day, but you must confirm with the auctioneer.

How reserve and vendor bids work in Queensland

Understanding how the reserve and vendor bids work changes how you read the room. It is not theatre. It is a regulated process.

- ☐ The reserve price is the lowest price the vendor will accept under the hammer. It is set in writing and given to the auctioneer before the auction starts. Source: Queensland Government, Auctioning a property.
- ☐ The reserve is confidential. The auctioneer can tell you whether a reserve has been set but not what it is.
- ☐ In Queensland, the auctioneer is allowed to make one or more vendor bids on behalf of the seller, but only up to (not including) the reserve price. Each vendor bid must be clearly disclosed by the auctioneer as a vendor bid at the time it is made. Source: Queensland Government, Auctioning a property.
- ☐ A vendor bid is not a real buyer. It is a tool the auctioneer uses to keep momentum or to indicate the property is below reserve. If you hear the words "vendor bid", you know the price is still below reserve.
- ☐ Once bidding reaches or exceeds the reserve, no further vendor bids may be made. Any bid above the reserve is a genuine buyer bid.
- ☐ Dummy bidding (a bid by a person with no genuine intention to buy, made to drive the price up) is illegal under the Property Occupations Act 2014 and carries significant penalties for the bidder and the auctioneer who knowingly accepts it. Source: Property Occupations Act 2014 (Qld).
- ☐ Queensland law also bans price guides for auction properties. The agent cannot give you a number, a range, or a "comparable estimate" framed as a guide. Your job is to do your own research using recent comparable sales. Source: Queensland Government, Auctioning a property.

Bidding strategy: when to enter, how to bid

Once you have done the work, the bidding itself is the easy part. Slow, clear, and deliberate. The goal is to buy the home, not to win the room.

- ☐ Decide your opening bid in advance. A confident opening bid set close to the likely reserve sends a signal that you are serious. A low opening bid invites a longer auction and more competition.
- ☐ Watch the first round before you enter if you prefer. You give up the chance to set the pace, but you learn who else is bidding and how confident they are.
- ☐ Bid in clean, round increments at the start. The auctioneer typically calls increments in \$25,000, \$10,000, or \$5,000 steps. Match the rhythm. A confident "I bid" is enough.
- ☐ Use small counter-bids to break momentum if a competing bidder is bidding hard. A counter at \$1,000 or \$2,000 in late rounds can stall the rhythm and force the other bidder to think.
- ☐ When the auctioneer pauses to "refer to the vendor", the property is below reserve. This is when you can sometimes secure the property by holding firm at the highest bid and waiting.
- ☐ Know your absolute ceiling and stop there. The single most expensive mistake at auction is bidding \$20,000 above the number you wrote down that morning.

If the property is passed in to you

A pass-in is not a failure. If you are the highest bidder when the property is passed in, you have a meaningful negotiating position.

- ☐ The highest bidder at a passed-in auction is given the first right to negotiate with the vendor. Other registered bidders cannot enter that conversation while you are at the table.
- ☐ Your last bid is your starting position, not your ceiling. The agent will likely ask if you are prepared to come up to the reserve. You do not have to.
- ☐ A passed-in auction usually moves into a private negotiation in a quiet room. Bring your written ceiling and your conveyancer's notes. Do not negotiate from memory.
- ☐ If you cannot agree on price, the property goes back on the market by private treaty. You can still negotiate, but you lose the exclusivity of being the first negotiator.
- ☐ Do not feel rushed by the agent's urgency. The first 24 to 48 hours after a pass-in are usually when the strongest deals are done, but only if both sides are reasonable.

If you win under the hammer

On the fall of the hammer, the contract is formed. There is no cooling-off period for property bought at auction in Queensland. Source: Queensland Government, Cooling-off period.

- ☐ You will be asked to sign the contract immediately as the buyer. The vendor signs at the same time. The contract is unconditional from that moment.
- ☐ You pay the deposit on the day. The standard amount is 10 percent of the purchase price unless the contract specifies a different figure. Confirm before the auction what the agent will accept (bank cheque, electronic transfer, deposit bond) and have the funds ready.
- ☐ Settlement timing is set by the contract, typically 30 to 60 days from the auction date.
- ☐ Notify your conveyancer or solicitor on the day so they can begin pre-settlement work immediately.
- ☐ Confirm your finance approval covers the actual purchase price. If you bid above the price your lender approved, contact your broker or lender first thing the next morning.
- ☐ You cannot withdraw because of finance, building and pest, or change of mind. The same applies if a contract is signed within 2 clear business days after a passed-in auction with the highest bidder, the cooling-off period does not apply. Source: Queensland Government, Cooling-off period.

Common mistakes Brisbane buyers make at auction

Most auction regret is preventable. These are the patterns I see most often in inner east Brisbane campaigns.

- ☐ Skipping the contract review because the property "feels" right. The contract is the only thing that matters once the hammer falls. Read it.
- ☐ Relying on a pre-approval that was never updated for the actual property. Pre-approval is conditional. Get formal approval against the auction contract before bidding.
- ☐ Bidding without a building and pest report. Once you own the property, every defect is yours. The cost of an inspection is small compared to the cost of finding out after.
- ☐ Setting a ceiling and then ignoring it on the floor. Auction adrenaline is real. Write the number down, sign it, and bring someone with you who will hold you to it.
- ☐ Treating a vendor bid as a genuine bid. A disclosed vendor bid tells you the property is below reserve. Use that information.
- ☐ Negotiating up too quickly after a pass-in. You have first negotiation rights. Use the time. Make one calm offer below the reserve and see what comes back.
- ☐ Forgetting that the deposit is due on the day. Have a bank cheque, deposit bond, or transfer ready before the auction starts.

Auction in Queensland rewards buyers who do the work in advance and bid calmly on the day. The contract is unconditional, the deposit is due immediately, and there is no cooling-off period. Every check, every inspection, every approval has to happen before the auctioneer calls for an opening bid. If you have done the preparation, the bidding itself is the easy part.

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